



Special Executive Report

DATE: September 9, 2024

SER#: 9426

SUBJECT: Amendments to Rule 101X02.D. (“Daily Price Limits”) of the Live Cattle Futures and Feeder Cattle Futures Contracts

Pending Commodity Futures Trading Commission (“CFTC” or “Commission”) approval, Chicago Mercantile Exchange Inc. (“CME” or “Exchange”) will amend Rule 101X02.D. (“Daily Price Limits”) of the Live Cattle and Feeder Cattle Futures contracts the Live Cattle and Feeder Cattle Futures contracts (the “Contracts”) effective on trade date Friday, October 25, 2024 as more specifically summarized below.

Contract Title	Rulebook Chapter	Clearing Code	CME Globex Code	CME ClearPort Code
Live Cattle Futures	101	48	LE	48
Feeder Cattle Futures	102	62	GF	62

Pursuant to Exchange rules, CME recently reset price limits for the Contracts effective June 3, 2024 (see [SER 9385](#) dated May 24, 2024). Specifically, the Exchange is requesting approval to:

- **Live Cattle:** Amend Rule 10102.D. (“Daily Price Limits”) to decrease the percentage utilized to establish initial price limits for the Live Cattle Futures contract each year from 4.25 percent to 3.5 percent and implement rounding up rather than rounding down to calculate the initial price limit for the contract. If these amendments had been effective at the time of the June 3, 2024 price limit reset, the initial daily price limit would have been \$0.065 per pound, reduced from the initial limit of \$0.075 per pound that is currently in place. While the rules in connection with the calculation of expanded price limits shall remain unchanged, had these amendments been in place at the time of the June 3, 2024 price limit reset, the aforementioned daily price limit would have been \$0.0975 per pound, reduced from the expanded limit of \$0.1125 per pound that is currently in place as noted in Table 2. below; and
- **Feeder Cattle:** Amend Rule 10202. D. (“Daily Price Limits”) to implement rounding up rather than rounding down in connection with the calculation of the initial price limit for the contract. If this amendment had been effective at the time of the June 3, 2024 price limit reset, the initial daily price limit would have been \$0.0825 per pound, reduced from the initial limit of \$0.0925 per pound that is currently in place. While the rules in connection with the calculation of expanded price limits shall remain unchanged, had this amendment been in place at the time of the June 3, 2024 price limit reset, the aforementioned daily price limit would have been \$0.1225 per pound, reduced from the expanded limit of \$0.1375 per pound that is currently in place as noted in Table 1. below.

Table 1.

Contract Title	Current Initial Price Limit	Decreased Initial Price Limit	Current Expanded Price Limit	Decreased Expanded Price Limit

Live Cattle Futures	\$0.075/lb.	<u>\$0.065/lb.</u>	\$0.1125/lb.	<u>\$0.0975/lb.</u>
Feeder Cattle Futures	\$0.0925/lb.	<u>\$0.0825/lb.</u>	\$0.1375/lb.	<u>\$0.1225/lb.</u>

Exhibit A below provides the Rule Amendments in blackline format. Additional information regarding the Rule Amendments may be viewed [HERE](#).

Inquiries regarding the aforementioned may be directed to:

Anne Krema 312-648-3817 Anne.Krema@cmegroup.com

Tom Crane 312-930-2032 Tom.Crane@cmegroup.com

EXHIBIT A CME Rulebook

(additions underscored; deletions ~~struck through~~)

Chapter 101 Live Cattle

10102. **TRADING SPECIFICATIONS**

10102.D. Daily Price Limits

Daily price limits for Live Cattle futures are reset annually on the first trading day in June based on the following: Daily settlement prices are collected for the nearest June contract over 45 consecutive trading days before and including the last trading day in April (Last Trade Date of the nearest April contract). The average price is calculated based on the collected settlement prices and then multiplied by ~~4.25~~ 3.5 percent. The resulting number rounded ~~down-up~~ to the nearest \$0.0025 per pound, or \$0.040 per pound, whichever is higher, will be the new initial price limits for Live Cattle futures and will become effective on the first trading day in June and will remain in effect through the last trading day in May of the following year.

There shall be no trading in Live Cattle futures at a price more than the price limit above or below the previous day's settlement price. Should any Live Cattle futures contract month within the first four listed contract months subject to price limits settle at limit, or should any Feeder Cattle futures contract month within the first four listed contract months subject to price limits settle at its limit, the daily price limits for all contract months shall increase on the next business day by 50 percent, rounded down to the nearest \$0.0025 per pound.

If none of the first four listed contract months for Live Cattle and Feeder Cattle futures contracts subject to price limits settle at a price change equal to or greater than their respective initial price limits on the next business day, daily price limits for all contract months shall revert back to the initial price limit on the following business day. During the last two days of trading, the expiring contract month shall be excluded from triggering expanded limits.

During the last two trading days in the expiring contract month, the daily price limit shall be equal to the expanded price limit above or below the previous day's settlement price. All other contract months remain subject to an initial or expanded price limit pursuant to the provisions set forth above.

If an expiring Live Cattle futures contract settles at its price limit on the day prior to the last trading day, the price limit for an expiring Live Cattle futures contract on the last trading day shall be two times the expanded price limit.

[End of Rule.]

Chapter 102

Feeder Cattle Futures

10202. TRADING SPECIFICATIONS

10202.D. Daily Price Limits

Daily price limits for Feeder Cattle futures are reset annually on the first trading day in June based on the price limit levels for Live Cattle futures (see CME Rulebook Chapter 10102.D. Daily Price Limits). Initial daily price limits for Feeder Cattle futures are set at 1.25 times the initial daily price limit level for Live Cattle futures, rounded ~~down~~^{up} to the nearest \$0.0025 per pound.

There shall be no trading in Feeder Cattle futures at a price more than the price limit above or below the previous day's settlement price. Should any Feeder Cattle or Live Cattle futures contract month within the first four listed contracts subject to price limits settle at its initial limit, the daily price limits for all contract months shall increase by 50 percent on the next business day, rounded down to the nearest \$0.0025 per pound.

If none of the first four listed Feeder Cattle and Live Cattle contract months subject to price limits settle at a price change equal to or greater than the initial price limit on the next business day, daily price limits for all contract months shall revert back to the initial price limit on the following business day.

If at the end of trade on the day prior to last trade day for an expiring Feeder Cattle futures contract, the CME Feeder Cattle Index differs from the settlement price of the expiring Feeder Cattle futures contract by an increment that exceeds the initial price limit (if under initial price limits), or if the CME Feeder Cattle Index differs from the settlement price of the expiring Feeder Cattle futures contract by an increment that exceeds the expanded price limit (if under expanded price limits), the price limits on the last trading day for the expiring Feeder Cattle futures contract shall be two times the expanded price limit.

[End of Rule.]